

UrbanCart Analytics - Executive Summary

UrbanCart's analysis combined six operational database tables with a legacy customer export and supplier catalog. After cleaning, 1,377 legacy customer records remained. Product reconciliation found 255 matches, 12 supplier-only SKUs, and 45 database-only products.

Top findings

- Books & Media generated the highest category revenue.
- Champions customers generated the largest RFM-segment revenue.
- Beauty & Health had the highest return-unit rate at 2.45%.
- The supplier catalog contained 12 supplier-only SKUs and the database contained 45 database-only products.
- Rating and repeat-purchase correlation was weak (0.035).

Forecast and uncertainty

The Normal Equation model produced R-squared 0.680. Point forecasts are \$334,584 and \$339,290. Monte Carlo month-two revenue has a 90% range of approximately \$125,518 to \$803,794, showing material planning uncertainty.

Recommended actions

- Prioritize inventory and campaigns for high-revenue categories and products.
- Retain Champions and intervene early with high-value churn-risk customers.
- Investigate return drivers in Beauty & Health and other high-return categories.
- Create product-master governance for internal and supplier catalog exceptions.
- Refresh forecasts monthly and plan against uncertainty ranges.

Decision note

Review ratings have a weak relationship with repeat purchase (correlation 0.035); customer recency, frequency, monetary value, and engagement should carry more weight in retention decisions.